

FRACTAL ANALYTICS – Q4 FY26 UPDATE

Enterprise AI deployment momentum strengthening; concentration and workflow entrenchment remain key debate areas.

Investment View Update

What has validated since initiation

- Fractal continues to demonstrate strong enterprise AI demand conversion despite a weak discretionary-spend environment, with revenue growing 19% for FY26 overall.
- The original thesis around AI deployment and implementation demand scaling beyond experimentation appears increasingly validated. Management commentary across Q3/Q4 repeatedly emphasized enterprise workflow reimagination, operational AI deployment and AI-led transformation rather than isolated experimentation use-cases.
- Operating leverage is beginning to emerge meaningfully. Gross margin expanded to 47.2% in Q3 and further to 48% in Q4, while adjusted EBITDA expanded to 22% in Q4 FY26.
- Large-account monetization continues to strengthen. Clients contributing >\$20m increased from 5 to 6, while >\$10m clients expanded from 6 to 9 between FY25 and FY26. This supports the thesis that enterprise AI monetization accrues disproportionately through deeper wallet-share expansion rather than broad-based customer acquisition.
- Output/outcome-based monetization continues to scale. Management indicated that output, outcome or license-based revenues are currently ~40% of mix and targeted to reach ~60% over the next 2–3 years. This is significant because outcome-linked pricing structurally requires stronger execution capability, operational confidence and measurable business impact.
- Fractal's positioning as an orchestration and execution layer above frontier models appears increasingly clear. PiEvolve is being positioned as an agentic layer sitting atop OpenAI, Claude and other foundational models rather than competing at the model layer itself.

What has evolved

- Enterprise AI conversations appear to be moving from isolated use-cases toward full workflow transformation. Management commentary increasingly referenced end-to-end revenue management, workforce redesign, AI-led operations and process reimagination.
- Fractal's agentic AI stack is becoming central to the monetization narrative. PiEvolve, the company's agentic engine for autonomous machine learning, now ranks among top-performing agents on OpenAI's MLE Bench and has been rolled out internally and to clients.
- DSO improved materially from 88 days in FY25 to 72 days in FY26, indicating improving operational maturity and working-capital discipline.

What has weakened / contradicted initiation assumptions

- One of the key assumptions in the initiation report was that revenue contribution from non-MWC clients would improve gradually over time, reducing concentration risk. However, recent quarters suggest growth continues to be disproportionately driven by deeper monetization within existing large accounts.
- FY26 revenue growth was 19%, of which 17% came from existing clients. This implies net incremental growth from new relationships remains relatively modest despite strong AI narratives.
- TMT vertical decline of 2% YoY was driven by disengagement from a telecom client in Australia and a technology client in the United States. This raises a more structural concern around workflow entrenchment. If a large client relationship can unwind abruptly without significant transition visibility, it suggests parts of Fractal's AI engagement stack may still remain closer to strategic/transformation layers rather than deeply embedded operational infrastructure.

Quarterly Snapshot

KPI	Q4 FY26	Interpretation
Revenue Growth	+17% YoY	Strong growth despite discretionary weakness
Existing Client Contribution	12% of growth	Growth remains disproportionately expansion-led
NRR	112%	Strong wallet-share expansion within existing accounts
Revenue from MWC	83%*	MWC contribution rising, elevating customer concentration risks.
EBITDA Margin	22%	Early operating leverage becoming visible
Output-Based Mix	~40%	Management targets higher output-based mix amid measured enterprise adoption
DSO	78 days*	Operational maturity and collections discipline improving
TMT Vertical	-19% YoY	Major concern around customer stickiness and workflow entrenchment

*Full Year

Management Commentary Evolution

Theme	Earlier Commentary	Recent Commentary	Interpretation
Enterprise AI	Experimentation-led	Workflow transformation & operational redesign	AI deployment cycle strengthening
Pricing Structure	Time/input based	Output/outcome	Margin-accretive monetization shift
AI Monetization	Advisory & services heavy	AI-led workflow ownership	Increasing operational relevance
Frontier Models	Technology ecosystem focus	PiEvolve layered above OpenAI/Claude	'Execution layer over intelligence layer' positioning
Agentic AI	Emerging capability	PiEvolve & Cogentiq central to GTM	Agentic stack becoming core differentiator
Margins	Investment-heavy	Gross margin & SG&A leverage visible	Early monetization scaling

AI Cycle Interpretation

Management commentary across Q3/Q4 increasingly suggests enterprise AI is moving beyond experimentation toward workflow transformation and operational deployment. Conversations are now centered around redesigning enterprise operations, workforce structures and revenue-management systems rather than isolated analytics use-cases.

Fractal appears to be positioning PiEvolve not as competing frontier models, but as orchestration and execution layers sitting atop foundational ecosystems such as OpenAI and Claude. This positioning is strategically

important because long-term enterprise AI monetization is likely to accrue disproportionately toward firms capable of embedding intelligence into workflows, coordinating agents and operationalizing decision-making.

However, monetization remains predominantly services-led, with platform/license contribution still relatively nascent.

Key Risks / Friction Points

- TMT customer disengagement remains the single largest concern emerging from recent quarters. The abrupt decline associated with a telecom client in Australia and a US technology client raises questions around the durability and operational embeddedness of certain large relationships.
- Revenue concentration risk remains elevated despite strong AI demand commentary. Growth continues to be driven primarily by expansion within existing large relationships rather than broad-based customer scaling.
- Platform monetization remains early despite increasing AI/product narratives.
- Output/outcome-based pricing structurally improves gross margins, but simultaneously transfers greater execution and delivery risk toward vendors.
- Americas-heavy exposure continues to maintain macro and discretionary-spend sensitivity.
- AI monetization visibility may still lag narrative intensity over the near term.

Thesis Scorecard

Initiation Thesis	Current Status	Assessment
AI deployment cycle would benefit execution-led AI firms	Validating	Strengthening
Operating leverage would emerge over time	Validating	Improving materially
Output-based pricing would improve monetization quality	Validating	Margin accretive
Product/platform economics would scale gradually	Delayed	Still services-heavy
Revenue mix beyond MWC clients would improve	Contradicting	Concentration remains elevated
Deep workflow embedding would improve client stickiness	Mixed/Weakening	TMT disengagement concerning
AI orchestration layer would gain strategic relevance	Validating	PiEvolve/Cogentiq strengthening

Valuation & Recommendation

A BUY recommendation and target price of INR 1,578 are maintained based on the valuation framework outlined in the initiation coverage report. The target valuation implies a FY29(E) P/E multiple of 57.7x. At the current market price of INR 942, the stock offers an implied upside potential of ~68%.

Recent quarters continue to support the broader thesis around enterprise AI deployment, workflow transformation and increasing monetization of execution-led AI services. While concerns around customer concentration and workflow entrenchment have become more pronounced following the TMT disengagement, Fractal's improving operating leverage, rising outcome-based pricing mix and strengthening agentic AI positioning continue to support premium valuation multiples over the medium term.